

has fallen into financial difficulties, it must rehabilitate itself by reducing its expenditures, or by raising its tax rate and other revenue, or possibly by a compulsory scaling down of its debt, corresponding to a corporate reorganization. By such means the town may place its finances on an entirely new and sound basis entitling it to a satisfactory credit rating in spite of its previous default. But the prudent investor will accord such a credit rating only after a careful study of the financial exhibit, including such items as the relation of expenditures and total debt, on the one hand, to population, property values and revenues, on the other. The bond buyer should expect to obtain a higher than standard yield on municipal obligations of this character, in repayment *not for the assumption of special risk, but for the effort required to satisfy himself of the soundness of the issue.*

A similar attitude should be taken towards newly organized civil bodies, where only a short record of debt service is available.⁵

The Dividend Record. The statutes governing legal investments have traditionally laid great stress upon a satisfactory record of dividend payments by the issuing enterprise. In most states a bond is eligible only if the company has paid regular dividends in certain minimum amounts for at least five years. This requirement is evidently based on the theory that since corporations exist in order to pay dividends, only those which do in fact pay dividends may be said to be really successful and therefore suitable for bond investment.

Dividend Record Not Conclusive Evidence of Financial Strength. It may not be denied that dividend-paying concerns as a class are more prosperous than non-dividend payers. But this fact would not in itself justify the summary condemnation of all the bonds of non-dividend-paying enterprises. An exceedingly strong argument *against* such a rule lies in

⁵ The technique of analysis of state or municipal finances is elaborate and it does not lend itself to dependable short cuts. An adequate treatment of the subject would lie outside the purview of this book or the competence of the authors. We refer the reader to treatments of the subject in standard works on investment such as Hastings Lyon, *Investment*, pp. 56–179, New York, 1926; Ralph E. Badger and Harry G. Guthmann, *Investment: Principles and Practices*, pp. 735–780, rev. ed., New York, 1936; and to *Proceedings of the Conference on Bond Portfolios 1939* of the New York State Bankers Association, pp. 136–158, New York, 1939; *Investment Standards and Procedure*, which is *Commercial Bank Management Booklet* No. 19, issued by the Bank Management Commission of the American Bankers Association, New York, 1937; A. M. Hillhouse, *Municipal Bonds: A Century of Experience*, New York, 1936.